

PERSONAL CONNECTION: W-4 MISSTEPS

In this chapter, I get to share a tale of someone else's financial illiteracy. First, it should be noted that I asked my buddy if I could tell his story, and am not some jerk who is publishing his blunders without permission. He has agreed to share his misstep in hopes that you will not make the same mistakes he did.

A few years ago, my friend came to me and said he had a question regarding his taxes. He is a high school teacher like me, but also teaches at two different colleges to earn extra money. Go, friend. He had just filed his taxes using TurboTax and was met with some shocking news. He received his W-2s (three of them, because he had three jobs), uploaded them to the website, answered a few more questions, clicked the button to calculate his tax return, and bam! He owed the IRS \$8,000. He assumed that he must owe more because he was earning more by teaching the extra college classes. This was not why he owed so much money. If you ever owe this much money, mistakes have been made.

He had made an error on his W-4s. Because he had three W-4s, one for each employer, he should have been having additional money withheld from his paychecks. Each of the schools was taxing him as if it were his only job, not taking into account the other schools he works for. So the colleges were taxing him at a very low rate, because they were only paying him around \$8,000 per year—but in reality he was probably making around \$80,000 per year on his combined incomes, and needed to be taxed at a higher rate.

Collectively, these issues created a perfect storm of underpayment to the IRS. He had been paid way too much money during the year, because he was not having enough money withheld